PORTLAND PUBLIC SCHOOLS

Overview of the Office of Performance Audit (OIPA)

Audit Committee Meeting:
October 27, 2026

Agenda

- Internal Performance Audit Team
- Professional Association Membership
- Audit Standards
- Independence
- Professional Skepticism
- What is Internal Performance Auditing?
- Policy and Charter
- Purpose and Mission
- Ethics and Professionalism
- Governing the Internal Audit Function
- Essential Conditions
- Benchmarking

Internal Performance Audit Team

Janise Hansen, CIA

- PPS Senior Internal Performance Auditor for the last seven years - hired Sept. 2019
- Served as the Senior Internal Performance Auditor at Seattle Public Schools during the 2018-2019 school year
- Eight plus years of experience auditing local government agencies throughout western Washington, including school districts ranging in size from approximately 3,000 to 53,000 students

Mary Catherine Moore

- PPS Internal Performance Auditor for the last seven years - hired March 2019
- Served as a Compliance and Internal Auditor at Providence Health & Services for ten plus years
- Graduate of Grant High School

We plan expand the team in 2026-2027 by hiring an additional audit employee with capital delivery and bond program audit expertise

Professional Association Membership

Institute of Internal Auditors

- Local Portland Chapter

Association of Local Government Auditors

- ALGA K-12 auditors: Bi-Monthly Meeting
- ALGA 2026 Portland Training – October 6 & 7, 2026

Council of Great City Schools

- Internal Audit Bi-Monthly Job Alike Meetings
- Annual Conference: Chief Financial Officer and Directors of Procurement, Risk Management and Internal Audit - November 17-20, 2026

Audit Standards

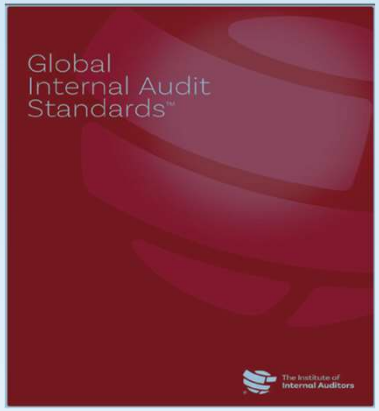
The US Government Accountability Office (GAO) issues **Generally Accepted Government Auditing Standards** (**GAGAS**) – also known as the **Yellow Book**

- 2024 Revision issued in February 2024
- The 2024 revision of Government Auditing Standards is effective for performance audits beginning on or after December 15, 2025



The Institute of Internal Auditors (IIA) issues the **Global Internal Audit Standards** - also known as the **Red Book**

- Published January 2024
- Effective as of January 2025



Independence

- OIPA is an organizationally independent function within PPS that provides objective assurance and advisory services to the Board.

- GAGAS/Yellow Book identifies specific criteria that must be met for OIPA to maintain its independence.

  - ✓ OIPA's organizational structure meets this criteria

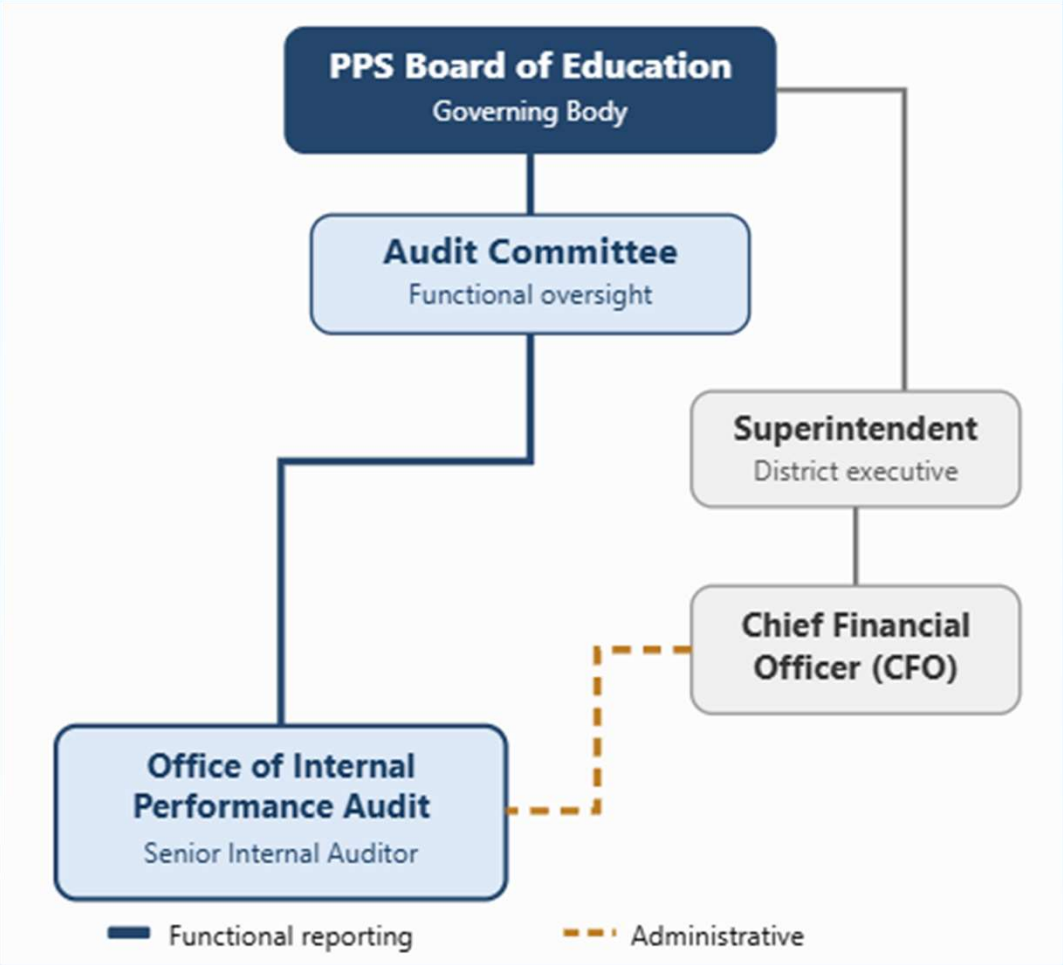
GAGAS/Yellow Book Chapter 3: Ethics, Independence, and Professional Judgement
3.56 Government internal auditors who work under the direction of the audited entity's management are considered structurally independent for the purposes of reporting internally, if the head of the audit organization meets **all** of the following criteria:

a. Is accountable to the head or deputy head of the government entity or to those charged with governance; - **Criteria met**

- ✓ OIPA's Sr. Internal Performance Auditor reports administratively to PPS' Chief Financial Officer
  - Board Policy 1.60.040-P states: The Auditor shall report to the Deputy Superintendent of Business & Operations (or comparable role) for administrative purposes such as leave approval, office space and supplies, paychecks and reimbursements.

- ✓ OIPA's Sr. Internal Performance Auditor reports functionally to the PPS Board of Education (Board)
  - Board Policy 1.60.404-P states: PPS shall maintain an Office of Performance Auditor. The office shall be staffed by a Board-approved District Performance Auditor (Auditor), who shall be hired, evaluated, and may be removed by the Board, and such other employees or contractors as the Board provides budgetary funding.
  - Board Policy 1.060.040-P states: The Auditor and their staff shall report to the Audit Committee, and the Auditor shall be annually evaluated by the Board using the school district's evaluation instrument.

Functional Reporting & Administrative Reporting



b. Reports the engagement results both to the head or deputy head of the government entity and to those charged with governance; - **Criteria met**

- ✓ Board Policy 1.60.404-P states: Each audit will result in a written report containing relevant background information, findings and recommendations and shall be delivered to the Audit Committee, Board, and the Superintendent. The report shall also ne available for public examination, except as otherwise provided in this policy or prohibited by law.

c. Is located organizationally outside the staff or line management function of the unit under audit; - **Criteria met**

- ✓ OIPA does not currently appear on PPS' Organizational Chart – demonstrating OIPA is located organizationally outside the staff or line of management function of the unit under audit
- ✓ Should OIPA be added to the PPS' Organizational Chart, the previous slide demonstrates how OIPA could appear and the difference between functional and administrative reporting.

d. Has access to those charged with governance; - **Criteria met**

- ✓ OIPA's Sr. Internal Performance Auditor maintains direct communications with the PPS' Board and Audit Committee members
- ✓ See additional details in the Communication Protocol memo

e. Is sufficiently removed from pressures to conduct engagements and report findings, opinions, and conclusions objectively without fear of reprisal. - **Criteria met**

The following safeguards[1] are in place to remove any pressures to conduct engagements and report findings, opinions, and conclusions objectively without fear of reprisal:

OIPA's Senior Internal Performance Auditor:

- Reports functionally to the Board and Audit Committee
- Is annually evaluated by the Board using the school district's evaluation instrument
  - Annual evaluations of OIPA's team is conducted by the Sr. Internal Performance Auditor
  - Board policy 1.60.040-P states: Within budget limitations and consistent with District policies and procedures, the Auditor shall have the authority to employ and remove other employees of the Office of Performance Audit or contractors as deemed necessary for the efficient and effective administration of the duties of the Office.
- May only be removed by the Board
  - This extends to the full OIPA team
  - Board Policy 1.60.404-P states: PPS shall maintain an Office of Performance Auditor. The office shall be staffed by a Board-approved District Performance Auditor (Auditor), who shall be hired, evaluated, and may be removed by the Board, and such other employees or contractors as the Board provides budgetary funding.

[1]*Safeguards are defined in GAGAS/Yellow Book: Safeguards are actions or other measures, individually or in combination, that auditors and audit organization take that effectively eliminate threats to independence or reduce them to an acceptable level. Safeguards vary depending on the facts and circumstances.*

OIPA's Senior Internal Performance Auditor: *(continued from previous slide)*

- Proposes the annual budget for OIPA to the Audit Committee
  - Once approved by the Audit Committee, the committee recommends OIPA's budget to the full Board for inclusion with the Board's budget.
  - In the event the Board does not accept the Audit Committee's recommended budget for OIPA:
    - The Chair of the Board and Chair of the Audit Committee should engage in direct negotiations with the Senior Internal Performance Auditor.
    - Any changes to the Audit Committee's recommended budget should be approved by the Audit Committee and the Audit Committee should recommend the updated budget to the full Board for inclusion within the Board's budget.

Concluding points on independence:

- Changes to the organizational structure of OIPA should be carefully considered as additional or alternative safeguards may be necessary to maintain OIPA's independence.
- There are opportunities to strengthen the independence of OIPA
  - Example: Increasing the number of Community members of the Audit Committee and allowing them to be voting members of the Audit Committee.
- Professional skepticism is a required element of independence

Professional Skepticism

Professional skepticism is a required element of independence

GAGAS/Yellow Book states:

- 3.110 … Attributes of professional skepticism include a questioning mind, awareness of conditions that may indicate possible misstatement owing to error or fraud, and a critical assessment of evidence. Professional skepticism includes being alert to, for example, evidence that contradicts other evidence obtained or information that brings into question the reliability of documents or responses to inquiries to be used as evidence. Further, it includes a mindset in which auditors assume that management is neither dishonest nor of unquestioned honesty…
- 3.21 Independence comprises the following:
  a. Independence of mind: The state of mind that permits the conduct of an engagement without being affected by influences that compromise professional judgment, thereby allowing an individual to act with integrity and exercise objectivity and professional skepticism.
  b. b. Independence in appearance: The absence of circumstances that would cause a reasonable and informed third party to reasonably conclude that the integrity, objectivity, or professional skepticism of an audit organization or member of the engagement team had been compromised.

See additional details on professional skepticism in the “Why Professional Skepticism Is Too Important to Leave to Internal Audit Alone” article.

What is Internal Performance Auditing?

Internal Audit:
An independent, objective assurance and advisory service designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management, and control processes.

Performance Audit:
Provides objective analysis, findings, and conclusions to assist management and those charged with governance and oversight with, among other things, improving program performance and operations, reducing costs, facilitating decision making by parties responsible for overseeing or initiating corrective actions, and contributing to public accountability.

Policy and Charter

Policy: PPS Board Policy 1.60.040-P: District Performance Auditing - last updated in Jan. 2024
Charter: PPS Internal Performance Audit Charter - approved by PPS Board on 10/15/2019

The policy and charter describe the Office of Internal Performance Audit:

- Purpose and Mission
- Audit Standards
- Authority and Access to Employees Records and Property
- Independence & Objectivity
- Responsibilities
- Scope

Purpose and Mission

State and local governments can enhance credibility with taxpayers by implementing performance audits to support accountability and guarantee that tax dollars are spent as effectively as possible.

The purpose of internal performance audit function is to help improve the accountability and performance of PPS through independent auditing and reporting.

The goal of these audits is to improve program effectiveness; improve equity of service delivery; provide useful, objective, and timely information; strengthen administrative and management systems and controls; facilitate decision-making by parties with responsibility for overseeing or initiating corrective action; and improve student achievement District-wide.

The objectives of performance audits vary, but generally address whether PPS is operating economically and efficiently, and/or whether it is achieving desired results.

Ethics and Professionalism

Principles of Ethics and Professionalism:

- Demonstrate Integrity
- Maintain Objectivity
- Demonstrate Competency
- Exercise Due Professional Care
- Maintain Confidentiality

Governing the Internal Audit Function

Required Communications: The auditor **must** discuss governing the internal audit function with the Board and Senior Management. The discussion should focus on:

- The Purpose of Internal Auditing
- Essential Conditions - Nine categories
- The potential impact on the effectiveness of the internal audit function if the Board or Senior Management does not provide the support outlined in the essential conditions

Essential Conditions Categories

1. Internal Audit Mandate
2. Internal Audit Charter
3. Board and Senior Management Support
4. Organizational Independence
5. Chief Audit Executive Qualifications
6. Board Interaction
7. Resources
8. Quality
9. External Quality Assessment

See details of each essential condition in the Essential Conditions document.

Benchmarking Data

September 2025 - The Council of Great City School issued a white paper titled Internal Auditing in the Great City Schools.

- The white paper is intended to describe leading practices in internal auditing and demonstrate the value of internal audit function brings to a school district.
- The white paper includes benchmarking data from 31 school districts (including PPS) as January 2025.
- PPS' Sr. Internal Performance Auditor was on the team of internal auditors from school district members of the CGCS who updated the white paper in September 2025.

Questions?